

The Indian Contract Act is so much infused in the daily lives that it affects all. For every purchase that one does, or a loan taken from a banker, or a ride one takes in a bus and many other transactions of daily life has its impact by Contract Act.

The English common law is the base for the development of Indian Contract Act 1872. The Act came into force on 1st September 1872, and applies to the whole of India except the state of Jammu and Kashmir. This Act applies to the usage of trade and lays down the general principles.

There are two parts of Indian Contract Act namely

a. General Contracts

b. Special Contracts

Meaning of Contract

As per the Indian Contract Act, 1872, a "contract" is an agreement enforceable by law. The agreements not enforceable by law are not contracts. An "agreement" means 'a promise or a set of promises' forming consideration for each other. A promise arises when a proposal is accepted. By implication, an agreement is an accepted proposal. In other words, an agreement consists of an 'offer' and its 'acceptance'.

Agreement = offer / Proposal + Acceptance

Contract = Agreement + Enforceability by law

Definition

Offer (i.e. Proposal) [section 2(a)] When one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other person either to such act or abstinence, he is said to make a proposal.

Acceptance 2(b) When the person to whom the proposal is made, signifies his assent thereto, the proposal is said to be accepted.

Agreement 2(e) Every promise and set of promises forming consideration for each other is an agreement. In short, Agreement = Offer + Acceptance.

Consideration 2(d) When at the desire of the promisor, the promisee or any other person has done or abstained from doing something or does or abstains from doing something or promises to do or abstain from doing something, such act or abstinence or promise is called a consideration for the promise.

Contract 2(h) An agreement enforceable by Law is a Contract.

